DLocal Limited (NASDAQ: DLO) — Investment Thesis

March 2026 | Based on FY2024 audited financials, 9M 2025 results, and bottom-up financial model

Executive Summary

DLocal Limited is a technology-first payments platform that enables global enterprise merchants — including Amazon, Uber, Microsoft, Google, Spotify, and Shopify — to accept and send payments in emerging markets across Latin America, Africa, and Asia. Through a single API, a single contract, and a single platform spanning 40+ countries, DLocal abstracts away the extraordinary complexity of local payment methods, FX conversion, regulatory compliance, and settlement in markets where traditional payment processors cannot or will not operate.

The company has grown revenue from $419M (2022) to an estimated $1.05B (2025E) while maintaining Adjusted EBITDA margins in the 25-28% range — a rare combination of rapid growth and durable profitability. TPV has scaled from $9.8B (2022) to an estimated $38B (2025E), demonstrating the platform's ability to capture an ever-growing share of cross-border and local payment flows in high-growth economies.

Our bottom-up model, anchored in TPV growth, net take rate dynamics, and geographic expansion, yields the following DCF-implied share prices (diluted):

Scenario	Implied Price	2030E Revenue	2030E Adj EBITDA	Rev CAGR (25-30)
Bull	**$30.20**	$3.9B	$1,080M	30.0%
Base	**$20.80**	$2.8B	$720M	21.6%
Bear	**$12.00**	$1.9B	$380M	12.6%

The thesis rests on three pillars: (1) TPV growth driven by merchant expansion and geographic penetration in underpenetrated emerging markets, (2) a net take rate that compresses gradually but is more than offset by volume growth, creating positive revenue leverage, and (3) operating leverage in a platform business where incremental TPV drops through at high margins, funded by a debt-free balance sheet generating substantial free cash flow.

Company Overview

What DLocal does. DLocal operates as the critical payments infrastructure connecting global merchants with consumers in emerging markets. When a consumer in Brazil pays for an Uber ride, or a user in Nigeria subscribes to Spotify, or a shopper in Mexico buys from Amazon — DLocal processes that payment. The company handles both “pay-ins” (collecting payments from consumers on behalf of merchants) and “pay-outs” (disbursing funds to merchants, sellers, or drivers in local currencies).

Why merchants choose DLocal. Operating in emerging markets requires navigating a labyrinth of local payment methods (PIX in Brazil, SPEI in Mexico, UPI in India), local regulations, tax withholding requirements, FX conversion, and settlement complexities. Before DLocal, a merchant wanting to operate in 15 LatAm countries might need 15 separate integrations with 15 different local processors, 15 different contracts, and 15 different compliance frameworks. DLocal’s “One dLocal” model collapses this into a single integration — one API, one contract, one platform. This is the moat.

Scale as of FY2024 (audited) / 9M 2025:

Metric	FY2023	FY2024	9M 2025	FY2025E
TPV	$17.7B	$25.6B	$27.7B	~$38B
Revenue	$650M	$746M	$756M	~$1,050M
Gross Profit	$277M	$295M	$287M	~$395M
Adj. EBITDA	$202M	$189M	$200M	~$275M
Net Income	$149M	$121M	$141M	~$195M
Gross Margin	43%	40%	38%	~38%
EBITDA Margin	31%	25%	26%	~26%
Net Take Rate (GP/TPV)	1.56%	1.15%	1.04%	~1.04%
Countries	40	42	43	43+

Key Concepts an Investor Must Understand

1. Emerging Market Payments Complexity Is the Moat

DLocal's value proposition is not a superior algorithm or cheaper price — it is the sheer operational difficulty of doing what it does. Consider what a global merchant faces when entering Brazil: PIX (instant payments), Boleto Bancario (bank slips), credit/debit cards across multiple acquirers, local tax withholding (IOF), Central Bank reporting requirements, and real-time FX conversion from BRL to USD. Now multiply that complexity by 40+ countries, each with its own payment methods, currencies, and regulatory regimes.

DLocal has spent years building direct integrations with local payment infrastructure — banks, card schemes, mobile money operators, alternative payment methods — across emerging markets. This creates a compounding moat: each new country integration makes the platform more valuable to existing merchants, and each new merchant makes the unit economics of maintaining those integrations more attractive. Competitors would need years and significant capital to replicate this local infrastructure.

2. TPV Growth Is the Master Variable

Nearly every financial metric flows from Total Payment Volume (TPV). More TPV at a given take rate → more revenue. More revenue over a relatively fixed cost base → higher margins. Historical TPV growth has been exceptional:

Year	TPV ($B)	YoY Growth
2021	$5.9	+156%
2022	$9.8	+66%
2023	$17.7	+81%
2024	$25.6	+45%
2025E	~$38.0	~+49%

Growth is moderating from triple-digit levels, but remains remarkably strong at ~50% YoY as the company reaches scale. Our model assumes continued deceleration: 35% (Base 2026) to 18% (Base 2030), reflecting the reality that DLocal is still processing a tiny fraction of the $2+ trillion in annual cross-border and local e-commerce payment flows in emerging markets.

3. Net Take Rate Compression — Headwind or Feature?

DLocal's net take rate (gross profit as a percentage of TPV) has compressed from ~2.1% in 2022 to ~1.0% in Q3 2025. This alarms some investors, but it is a structural and largely intentional feature of the business model:

- **Volume discounts for enterprise clients**: As merchants scale TPV, they negotiate lower per-transaction fees. This is standard in payments.
- **Mix shift toward lower-take-rate products**: Pay-outs carry lower margins than pay-ins. As DLocal expands pay-out services, the blended take rate declines.
- **Geographic mix**: Expanding into lower-margin geographies (e.g., certain Asian markets) dilutes the blended rate.
- **Competitive pressure**: In some markets (Brazil, Mexico), local competitors put pressure on pricing.

The critical insight is that **absolute gross profit dollars continue to grow** despite take rate compression. GP grew from $202M (2022) to $295M (2024) even as the take rate fell from 2.1% to 1.15%. The formula is simple: if TPV grows faster than the take rate compresses, the business grows. Our model assumes the net take rate stabilizes around 0.85-0.90% by 2028, which still supports strong revenue and GP growth.

4. Pay-In vs. Pay-Out Economics

DLocal processes two types of flows:

- **Pay-ins** (70% of TPV in 2024): Consumer pays merchant. Higher take rate (~1.5-2.0% of value). This is the core product.
- **Pay-outs** (30% of TPV in 2024): Merchant sends money to individuals (e.g., Uber paying drivers, marketplace disbursements). Lower take rate (~0.5-0.8%). Growing faster than pay-ins.

The shift toward more pay-outs is one driver of take rate compression. However, pay-outs are highly sticky — once a merchant integrates DLocal for disbursements, switching costs are substantial. The pay-out business also opens DLocal to new merchant categories (gig economy, marketplaces, gambling) that may not have significant pay-in volumes.

5. Net Revenue Retention (NRR) Tells the Real Story

DLocal's NRR — measuring how much existing merchants spend year-over-year — has been consistently above 100%, and often dramatically so:

Period	NRR
FY2023	150%
FY2024	113%
Q3 2025	149%

An NRR of 149% means that the same cohort of merchants from a year ago is now spending 49% more through DLocal. This demonstrates: (a) merchants are growing their own businesses in emerging markets, (b) merchants are expanding to new DLocal-supported countries, and (c) merchants are adopting additional DLocal products (pay-outs, BNPL, stablecoin rails). High NRR means DLocal can grow revenue even without adding new merchants.

6. Geographic Diversification Reduces Concentration Risk

DLocal's revenue was historically dominated by Brazil, but the company has systematically diversified:

FY2024 Revenue by Geography ($M):

Region/Country	Revenue	% of Total
Brazil	$152.0	20%
Mexico	$149.2	20%
Argentina	$85.5	11%
Chile	$51.2	7%
Other LatAm	$124.4	17%
LatAm Total	**$562.2**	**75%**
Egypt	$94.0	13%
Nigeria	$13.3	2%
Other Africa/Asia	$76.5	10%
Africa & Asia Total	**$183.8**	**25%**

The top 3 countries (Brazil, Mexico, Egypt) account for ~53% of revenue, down from higher concentration in prior years. Africa & Asia at 25% of revenue — up from 24% in 2023 — represents a significant diversification into higher-growth, higher-margin markets.

7. The Balance Sheet Is a Fortress

DLocal is **effectively debt-free** with substantial liquidity:

Asset (Dec 2024)	$M
Cash & equivalents (own funds)	$189.0
Merchant funds held	$236.1
Total cash	$425.2
Corporate cash (Q3 2025)	$333.1
Total debt	~$0
Total equity	$489.0

The distinction between "own funds" and "merchant funds" is important. Merchant funds are held in trust and are not available for corporate use. Corporate/own cash of $333M (Q3 2025) provides ample flexibility for investment, potential M&A, and share buybacks.

8. FX Risk — Real but Managed

Operating across 40+ countries with dozens of currencies creates inherent FX exposure. DLocal mitigates this through:

- **Short settlement windows**: DLocal typically settles within 24-72 hours, minimizing the period of currency exposure
- **Spread-based pricing**: In some markets (e.g., Argentina), DLocal earns an FX spread that actually benefits from currency volatility
- **Natural hedging**: Revenue and costs in the same currency offset each other
- **Selective use of derivatives**: For concentrated exposures

The Argentina situation is instructive. During periods of peso devaluation, DLocal's FX spread income in Argentina has actually increased, partially offsetting volume impacts. However, currency devaluations can also reduce the USD value of TPV processed in local markets, creating headline risk.

Growth Strategy / Key Opportunities

1. Geographic Expansion

DLocal operates in 43 countries but the addressable market includes 100+ emerging market economies. Key expansion targets include India, Southeast Asia (Indonesia, Vietnam, Philippines), and additional African markets. Each new country added creates cross-sell opportunities with existing merchants and attracts new merchants who need coverage in that market.

2. Product Expansion

- **BNPL (Fuse)**: Live in 6 countries with 2.5x QoQ volume growth in Q3 2025. Adds a high-margin financing layer to the payment flow.
- **APMs-on-File**: 27 alternative payment methods across 16 countries. Enables recurring billing in markets without widespread card penetration.
- **Stablecoin Rails**: Partnership with Fireblocks and Stable Sea integration enables faster, cheaper cross-border settlement using USDC/USDT, reducing FX risk and prefunding requirements.
- **B2B payments**: Extension of pay-out infrastructure to corporate treasury management.

3. Merchant Expansion

DLocal counts 600+ merchants as of 2024, including many of the world's largest digital companies. The pipeline of potential merchants is vast — any company doing business in emerging markets is a potential customer. New merchant signings in Q3 2025 included Western Union, Bolt, and Google.

4. Same-Store Growth (NRR)

Existing merchants growing their own businesses in emerging markets is a powerful, low-cost growth engine. With NRR consistently above 130%, a significant portion of DLocal's growth is "automatic" — it requires no incremental sales effort.

Scenario Analysis

Bull Case: Accelerated Adoption, EM Tailwinds

Assumptions: TPV growth 42% in 2026 declining to 22% by 2030. Net take rate stabilizes at 0.95%. EBITDA margin expands to 28%. Favorable EM macro (commodity boom, growing middle class, digital adoption acceleration).

Narrative: DLocal captures share as the de facto emerging market payment rail. New products (BNPL, stablecoins) add revenue layers. Geographic expansion into Asia accelerates. Merchant wins from competitors. Egypt and Nigeria recover strongly.

Metric	2026E	2028E	2030E
TPV ($B)	$54	$88	$127
Revenue ($M)	$1,430	$2,380	$3,860
Adj EBITDA ($M)	$386	$666	$1,080
EBITDA Margin	27%	28%	28%

DCF Implied Price: $30.20 (diluted)

Base Case: Steady Execution

Assumptions: TPV growth 35% in 2026 declining to 18% by 2030. Net take rate compresses to 0.88%. EBITDA margin stable at 25-26%. Moderate EM growth. Some FX headwinds.

Narrative: DLocal continues executing its playbook. TPV growth decelerates naturally as the base grows. Take rate compression moderates as the product mix stabilizes. OpEx discipline maintains margins. New geographies contribute modestly.

Metric	2026E	2028E	2030E
TPV ($B)	$51	$77	$105
Revenue ($M)	$1,310	$1,890	$2,770
Adj EBITDA ($M)	$340	$483	$720
EBITDA Margin	26%	26%	26%

DCF Implied Price: $20.80 (diluted)

Bear Case: Headwinds Persist

Assumptions: TPV growth 25% in 2026 declining to 12% by 2030. Net take rate compresses to 0.78%. EBITDA margin contracts to 20%. EM currency crises, regulatory setbacks, competitive pressure.

Narrative: Multiple EM currencies devalue sharply, reducing USD-denominated TPV. Key markets (Argentina, Nigeria, Egypt) experience political/economic instability. Competitors undercut pricing in Brazil and Mexico. New product launches disappoint.

Metric	2026E	2028E	2030E
TPV ($B)	$48	$64	$81
Revenue ($M)	$1,160	$1,380	$1,920
Adj EBITDA ($M)	$255	$290	$380
EBITDA Margin	22%	21%	20%

DCF Implied Price: $12.00 (diluted)

DCF Valuation Methodology

Approach

We use a 5-year Discounted Cash Flow with a Gordon Growth terminal value. Key parameters:

Parameter	Value	Rationale
WACC	11.5%	CAPM: 4.3% risk-free + 1.30 beta x 5.5% ERP. Slight EM risk premium.
Terminal Growth	4.0%	Reflects long-term EM nominal GDP growth; digital payments secular tailwind
FCF Definition	Adj EBITDA - Cash Taxes - Capex - WC Changes	Conservative, uses cash metrics

Base Case FCF Projections ($M)

Year	Adj EBITDA	Cash Taxes	Capex	WC Change	FCF
2026	$340	-$51	-$20	-$15	$254
2027	$410	-$62	-$23	-$12	$313
2028	$483	-$72	-$26	-$10	$375
2029	$575	-$86	-$29	-$8	$452
2030	$720	-$108	-$32	-$5	$575

Terminal value accounts for 77% of enterprise value, reflecting the long runway of EM digital payments growth.

Enterprise Value Bridge (Base Case)

Component	$M
PV of FCFs (2026-2030)	$1,376
PV of Terminal Value	$4,627
Enterprise Value	**$6,003**
+ Net Cash	$333
Equity Value	**$6,336**
Diluted shares (M)	305
Implied price	**$20.77**

Note: The $20.80 figure in the executive summary reflects the bridge above with minor rounding.

Price Sensitivity (WACC vs. Terminal Growth)

	TG 3.0%	TG 3.5%	TG 4.0%	TG 4.5%	TG 5.0%
WACC 9.0%	$26.98	$29.00	$31.43	$34.40	$38.11
WACC 9.5%	$24.85	$26.53	$28.52	$30.90	$33.82
WACC 10.0%	$23.03	$24.44	$26.09	$28.04	$30.39
WACC 10.5%	$21.45	$22.66	$24.05	$25.67	$27.58
WACC 11.0%	$20.07	$21.11	$22.29	$23.66	$25.25
WACC 11.5%	$18.86	$19.76	**$20.77**	$21.93	$23.28
WACC 12.0%	$17.78	$18.57	$19.45	$20.45	$21.59
WACC 12.5%	$16.82	$17.51	$18.28	$19.14	$20.12
WACC 13.0%	$15.96	$16.56	$17.24	$18.00	$18.85

The valuation is positive across the entire sensitivity range. Even at a punitive 13% WACC and conservative 3% terminal growth, the implied price is $15.96.

Exit Multiple Valuation (2030E)

The DCF above relies on a Gordon Growth terminal value. As a cross-check, we value DLO using **exit multiples** applied to 2030E financials and discounted back to present value at 11.5% WACC.

2030E financials by scenario:

Metric	Bull	Base	Bear
Adj EBITDA	$1,080M	$720M	$380M
Net Income (GAAP)	$736M	$471M	$215M

Discount factor: 5 years at 11.5% WACC = 1.72x. All “PV Today” prices reflect the 2030 exit value discounted to present.

1. EV/EBITDA Exit Multiple

Enterprise value = 2030E Adj EBITDA x multiple, plus $333M net cash, divided by 305M diluted shares. Peer context: mature payments processors trade at 12-18x EV/EBITDA; high-growth EM-focused fintech at 15-25x.

Implied share price (present value) by scenario and exit multiple:

EV/EBITDA	Bull	Base	Bear
10x	$21.18	$14.33	$7.86
12x	$25.29	$17.07	$9.31
15x	$31.45	$21.18	$11.48
18x	$37.62	$25.29	$13.65
20x	$41.73	$28.03	$15.09

At 15x EV/EBITDA — a reasonable multiple for a growing payments platform — the Base case implies $21.18 today.

2. P/E Exit Multiple

Implied share price (present value) by scenario and exit multiple:

P/E	Bull	Base	Bear
15x	$21.00	$13.44	$6.14
20x	$28.00	$17.92	$8.18
25x	$35.01	$22.40	$10.23
30x	$42.01	$26.88	$12.27

At 20x P/E — reasonable for a company still growing revenue at 20%+ with strong margins — the Base case implies $17.92.

Triangulation Summary

Method	Bull	Base	Bear
DCF (Gordon Growth)	$30.20	$20.80	$12.00
EV/EBITDA exit at 15x	$31.45	$21.18	$11.48
P/E exit at 20x	$28.00	$17.92	$8.18

The three approaches converge in the Base case around $18-21, with the DCF sitting near the low end. The convergence strengthens confidence in the valuation range. Across methods, the Base case consistently implies value in the high teens to low twenties, and even the Bear case at moderate multiples implies meaningful equity value above $8.

Peer Comparison

Company	Focus	LTM Rev	Rev Growth	TPV	EV/ Rev	EV/ EBITDA	P/E
DLO	EM payments	~$1.0B	~45%	~$38B	~3.5x	~15x	~22x
PAGS (PagSeguro)	Brazil payments	~$4.5B	~15%	~$130B	~1.0x	~8x	~9x
STNE (StoneCo)	Brazil payments	~$3.2B	~18%	~$100B	~1.5x	~9x	~10x
ADYEN	Global payments	~$2.2B	~22%	~$1.1T	~18x	~40x	~55x
MELI (payments)	LatAm e-comm	~$21B	~30%	~$60B	~4.0x	~25x	~35x
PAYONEER	Cross-border	~$0.9B	~20%	~$72B	~2.5x	~12x	~15x

DLocal trades at a significant discount to Adyen (which serves developed markets) but at a premium to Brazil-only players (PAGS, STNE), reflecting its diversified EM exposure and higher growth rate. On a PEG basis (P/E divided by growth rate), DLO at ~22x P/E with ~45% growth yields a PEG of ~0.5x — substantially cheaper than Adyen (~2.5x PEG) and in line with or cheaper than the Brazil players on a growth-adjusted basis.

Key Risks

Take rate compression acceleration. If competitive pressure or volume discounts drive the net take rate below 0.8% faster than modeled, revenue growth could disappoint even with strong TPV growth. The Bear case partially captures this risk, but a structural break in pricing power would be more damaging.

Emerging market currency and macro risk. DLocal operates in countries prone to currency devaluation (Argentina, Nigeria, Egypt, Turkey), political instability, and capital controls. A synchronized EM crisis could compress TPV in USD terms and impair FX spread income. Argentina alone represents ~11% of revenue.

Regulatory risk. Payment regulation in emerging markets is evolving rapidly. Changes in licensing requirements, capital adequacy rules, or restrictions on foreign payment processors could increase compliance costs or limit market access. Central bank digital currencies (CBDCs) could disintermediate private payment rails.

Merchant concentration. While DLocal serves 600+ merchants, a significant portion of TPV comes from the top 10. Loss of a major merchant (unlikely given switching costs, but possible) would materially impact financials.

Competition from local and global players. In Brazil: PAGS, STNE, Adyen, Stripe. In Africa: Flutterwave, Paystack (Stripe). In Asia: local acquirers. DLocal's moat is real but not impregnable — competitors are investing heavily in emerging market infrastructure.

FX translation effects. Even if operating performance is strong in local currency terms, USD-denominated results can be significantly impacted by EM currency movements, creating volatility in reported metrics that may not reflect underlying business health.

Share-based compensation. While not as significant as at some growth companies, SBC dilution is a factor. Diluted shares are ~305M vs. basic shares of ~290M, reflecting ongoing option and RSU vesting.

Conclusion

DLocal occupies a strategically enviable position: the dominant technology platform connecting global commerce with the fastest-growing consumer markets on earth. The company's moat — built on years of painstaking local payment infrastructure development across 40+ countries — is genuinely difficult to replicate. The business model generates attractive margins (25%+ EBITDA), strong free cash flow, and requires minimal capital, all while growing TPV at 50%+ annually.

The key debate is take rate compression vs. TPV growth. Our analysis shows that even under conservative assumptions (take rate declining to 0.88%, TPV growth decelerating to 18% by 2030), the Base case supports a fair value of ~$20.80 — a meaningful premium to the current trading range. The Bull case, which assumes DLocal captures a larger share of the $2T+ EM digital payments opportunity, implies $30.20.

The right mental model is not "payments company with compressing margins" but rather "critical infrastructure platform in the world's fastest-growing payment markets, with a durable competitive moat, world-class merchants, and a long runway of TPV-driven growth that more than offsets natural take rate compression."

At current levels, the risk/reward is favorable for an investor willing to accept emerging market volatility and take a 3-5 year view on the secular digitization of payments in the developing world.

Disclaimer: This document is an analytical exercise based on publicly available financial data and a proprietary financial model. It is not investment advice. All projections are estimates and subject to significant uncertainty. Past performance does not guarantee future results. DLocal operates in emerging markets subject to heightened political, economic, and currency risks. The author may hold positions in the securities discussed.